

5-4b Classical Theories versus New Realities

While the first debate (mostly on China) is primarily about *merchandise* trade and unskilled manufacturing jobs that classical theories talk about, the second debate (mostly on India) is about *service* trade and high-skill jobs in high technology, such as IT. Typically dealing with wheat from Australia to Britain on a slow boat, classical theorists certainly could not have dreamed about using the Internet to send *this* manuscript to India to be typeset and counted as India's service exports. In addition to the traditional label of "trade in services," a new jargon is "trade in tasks."

We already discussed a part of this debate in Chapter 4 when focusing on outsourcing. That debate deals with *firm*-level capabilities. Here, let us examine *country*-level and *individual*-level ramifications. Classical theorists and their modern-day disciples argue that the United States and India trade by tapping into each other's comparative advantage. India leverages its abundant, high-skill, and low-wage labor. Americans will channel their energy and resources to higher-skill, higher-paying jobs. While, regrettably, certain Americans will lose jobs, the nation as a whole benefits, so the theory goes.

But, not so fast!—argued retired MIT economics professor Paul Samuelson. In an influential paper, Samuelson suggested that in a more realistic world, India can innovate in areas where the United States traditionally enjoys comparative advantage, such as IT. Indian innovation can reduce the price of US software exports and curtail the wage of American IT workers. Despite the availability of cheaper goods (which is a plus), the net effect may be that the United States is *worse* off as a whole. Samuelson is not an anti-globalization ideologue. Instead, he won a Nobel Prize for his penetrating research on the gains from international trade, and his mainstream economics textbook has trained generations of students (including your author). Now, even Samuelson is not so sure about one of the founding pillars of modern economics, comparative advantage.

Jagdish Bhagwati, a Columbia University trade expert, and his colleagues quickly countered Samuelson by arguing that classical pro-free trade theories still hold. They argued:

Imagine that you are exporting aircraft, and new producers of aircraft emerge abroad. That will lower the price of your aircraft, and your gains from trade will diminish. You have to be naïve to believe that this can never happen. But you have to be even more naïve to think that the policy response to the reduced gains from trade is to give up the remaining gains as well. The critical policy question we must address is: When external developments, such as the growth of skills in China and India, for instance, do diminish the gains from trade to the US, is the harm to the US going to be reduced or increased if the US turns into Fortress America? The answer is: The US will only increase its anguish if it closes its markets.

In any case, according to Bhagwati and colleagues, the “threat” posed by Indian innovation is vastly exaggerated and offshoring is too small to matter much. They argue that newer and higher-level jobs will replace those lost to offshoring. One question is: Will there be enough of such jobs in the United States?

Chapter 5: Trading Internationally: 5-4b Classical Theories versus New Realities

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